Nanya Technology

Upbeat 3Q margin/ASP, and 2027 guidance also optimistic: lift PO to NT$800

Reiterate Rating: BUY | PO: 800.00 TWD | Price: 527.00 TWD

3Q results confirm super-cycle even with legacy DRAM

Nanya Tech, a pure DRAM supplier, reported very strong 3Q results (sales: NT$134bn, +62% QoQ / +612% YoY; OPM: 80% - similar to big-3 DRAM makers'; net margin: 66%). The key contributor should be upbeat ASP (up 60%+ QoQ vs consensus of 30-40%). In fact, Nanya Tech had already reported more than doubled 1H ASP (60%+ QoQ for two consecutive quarters). Thus, Street expected limited QoQ price increase in 3Q (vs 1H). According to Nanya Tech President Pei Ing Lee, demand for legacy DRAM products (DDR3 & DDR4) remained strong across IT, industrial, and enterprise applications. Mgmt also said legacy DRAM accounted for 80%+ of 3Q sales (vs 10% range for DDR5). Net-net, the 3Q results confirmed super-cycle even selling mainly legacy/conventional DRAM.

Guidance broadly bullish; no sign of a price cut

Lee provided bullish guidance (earnings call). What we learned: (1) rising 4Q ASP, (2) ongoing shortage of legacy DRAM through 2027 (no immediate demand shift from DDR4 to DDR5), (3) new fab mass production (2027-28), (4) significant FCF generation (with high margin profile) despite large capex spend (NT$70bn in 2026), (5) record-high net cash (NT$270bn in 3Q), (6) new node development (in-house) and migration (1c, 1d, 1e) on track, and (7) new construction plan for 3D wafer packaging/testing facilities in Ping Tung Science Park, Taiwan. Overall, new guidance presents further growth (capacity expansion) and high margin profile (favorable ASP trend).

Lift PO to NT$800 on revisions to 2027/28 EPS estimates

We lift our PO from NT$750 to NT$800 using the same target P/E vs earlier (9x 2027-28E EPS). Thus, our PO revision is mostly based on 7-8% revisions to 2027-28 EPS estimates. We assume 5%/1ppt higher sales/OPM vs our earlier forecasts given more favorable conventional DRAM ASP trend. To be conservative, we assume negative EPS growth for 2028 but it can turn positive if the ASP remains stable. We reiterate Buy.

Estimates (Dec) (NT$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	-5,083	6,616	251,840	360,077	293,015
EPS	-1.6	2.1	74.5	103.7	84.4
EPS Change (YoY)	31.7%	NM	NM	39.1%	-18.6%
Consensus EPS (Visible Alpha)			70.74	112.55	118.06
Dividend / Share	0	1.35	22.36	41.47	42.18
Free Cash Flow / Share	-4.58	1.65	59.11	86.13	63.96
Valuation (Dec)					
P/E	NM	248.7x	7.1x	5.1x	6.2x
Dividend Yield	0%	0.3%	4.2%	7.9%	8.0%
EV / EBITDA*	270.5x	77.4x	4.6x	3.1x	3.7x
Free Cash Flow Yield*	-0.8%	0.3%	10.9%	16.3%	12.1%

* For full definitions of iQmethod℠ measures, see page 18.

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Refer to important disclosures on page 19 to 21. Analyst Certification on page 16. Price

12 October 2026

Equity

Key Changes

(NT$)	Previous	Current
Price Obj.	750.00	800.00
2026E EPS	70.5	74.5
2027E EPS	96.5	103.7
2028E EPS	77.8	84.4
2026E EBITDA (m)	314,569	325,705
2027E EBITDA (m)	455,240	488,807
2028E EBITDA (m)	371,834	404,165

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Stock Data

Price	527.00 TWD
Price Objective	800.00 TWD
Date Established	12-Oct-2026
Investment Opinion	B-1-7
52-Week Range	85.00 TWD-569.00 TWD
Mrkt Val / Shares Out (mn)	56,944 USD / 3,450.2
Market Value (mn)	1,818,259 TWD
Average Daily Value (mn)	962.33 USD
Free Float	46.5%
BofA Ticker / Exchange	NNYAF / TAI
Bloomberg / Reuters	2408 TT / 2408.TW
ROE (2026E)	75.3%
Net Dbt to Eqty (Dec-2025A)	-22.8%

ASP: Average selling price
DDR3/4/5: 3rd/4th/5th gen DRAM
DRAM: Dynamic random-access memory
OPM: Operating profit margin

iQprofile℠ Nanya Technology

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(NT$ Millions)					
Sales	34,132	66,587	410,616	633,254	617,223
Gross Profit	(421)	14,986	336,626	508,978	423,265
Sell General & Admin Expense	(10,134)	(9,741)	(23,086)	(34,795)	(38,065)
Operating Profit	(10,555)	5,245	313,540	474,183	385,201
Net Interest & Other Income	3,998	2,639	7,122	5,920	5,487
Associates	NA	NA	NA	NA	NA
Pretax Income	(6,557)	7,884	320,662	480,103	390,687
Tax (expense) / Benefit	1,474	(1,269)	(68,823)	(120,026)	(97,672)
Net Income (Adjusted)	(5,083)	6,616	251,840	360,077	293,015
Average Fully Diluted Shares Outstanding	3,122	3,122	3,379	3,474	3,474
Key Cash Flow Statement Data					
Net Income	(5,083)	6,616	251,840	360,077	293,015
Depreciation & Amortization	16,144	14,281	12,165	14,624	18,964
Change in Working Capital	(5,772)	(1,973)	5,993	2,456	(1,296)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(3,337)	(355)	(1,935)	0	0
Cash Flow from Operations	1,952	18,568	268,063	377,157	310,684
Capital Expenditure	(16,143)	(13,446)	(69,700)	(80,000)	(90,000)
(Acquisition) / Disposal of Investments	NA	NA	NA	NA	NA
Other Cash Inflow / (Outflow)	(45)	(664)	(201)	0	0
Cash Flow from Investing	(16,188)	(14,110)	(69,901)	(80,000)	(90,000)
Shares Issue / (Repurchase)	13	246	79,556	0	0
Cost of Dividends Paid	0	0	(4,658)	(77,148)	(143,065)
Cash Flow from Financing	13,707	(6,317)	72,653	(80,228)	(159,531)
Free Cash Flow	(14,191)	5,123	198,363	297,157	220,684
Net Debt	(36,638)	(38,818)	(311,802)	(528,730)	(603,280)
Change in Net Debt	10,993	(2,181)	(272,983)	(216,929)	(74,550)
Key Balance Sheet Data					
Property, Plant & Equipment	84,327	85,031	148,067	216,794	291,049
Other Non-Current Assets	14,433	14,881	13,405	13,358	13,323
Trade Receivables	4,132	16,546	46,486	42,150	38,218
Cash & Equivalents	61,903	58,074	330,199	547,127	608,280
Other Current Assets	41,911	33,921	27,425	26,615	25,869
Total Assets	206,706	208,453	565,582	846,045	976,740
Long-Term Debt	3,995	14,196	18,397	18,397	5,000
Other Non-Current Liabilities	4,878	4,698	5,500	5,723	5,838
Short-Term Debt	21,270	5,060	0	0	0
Other Current Liabilities	11,510	13,960	43,397	40,707	34,734
Total Liabilities	41,653	37,914	67,294	64,827	45,572
Total Equity	165,053	170,538	498,287	781,217	931,168
Total Equity & Liabilities	206,706	208,453	565,582	846,045	976,740
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	-4.3%	2.3%	68.7%	53.6%	33.1%
Return On Equity	-3.1%	3.9%	75.3%	56.3%	34.2%
Operating Margin	-30.9%	7.9%	76.4%	74.9%	62.4%
EBITDA Margin	16.4%	29.3%	79.3%	77.2%	65.5%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	NM	2.8x	1.1x	1.0x	1.1x
Asset Replacement Ratio	1.0x	0.9x	5.7x	5.5x	4.7x
Tax Rate (Reported)	22.5%	16.1%	21.5%	25.0%	25.0%
Net Debt-to-Equity Ratio	-22.2%	-22.8%	-62.6%	-67.7%	-64.8%
Interest Cover	NA	NA	NA	NA	NA

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 18.

Company Sector

Semiconductors

Company Description

Nanya Technology is an affiliate of Formosa Plastics Group. The firm manufactures and distributes DRAM chips. Management focuses on non-PC applications such as consumer, mobile, server, autos, etc. Key customers are based in China and Taiwan. Samsung, SK Hynix and Micron are major competitors.

Investment Rationale

Our Buy rating is based on the DRAM industry's supercycle, which should warrant a high-margin profile for Nanya Tech even in the long term. Its 3Q26 results proved record-high revenue (NT$134bn, more than 5x higher than the previous peak cycle) and 80% operating margin. Management focus on long-term contracts, including DDR4 for eSSD or servers, should also act as a catalyst. Significantly rising net cash even after capex hike could also support higher dividend payouts.

Stock Data

Price to Book Value	3.7x

Key charts/tables after 3Q26 results

Exhibit 1: Exceptionally strong 3Q results (sales: NT$134bn; +62% QoQ or +612% YoY; OPM: 80% - similar to big-3 DRAM makers; net margin: 66%). The key contributor should be upbeat ASP (up by 60%+ QoQ vs consensus of 30-40%).

Nanya Tech – 3Q26 earnings vs consensus and our estimate

(NT$mn, NT$)	Actual	QoQ	YoY	Cons	Act vs Cons	Our est	Act vs our est
Sales	**133,649**	**62%**	**612%**	**133,354**	**0%**	**132,157**	**1%**
GP	114,482	74%	3204%	113,837	1%	110,181	4%
OP	**106,894**	**76%**	**9451%**	**107,724**	**-1%**	**105,081**	**2%**
Pre-tax profit	109,332	75%	5305%	109,629	0%	106,417	3%
Effective tax rate	20%	2%	-13%	19%	2%	24%	-17%
NP	**87,627**	**75%**	**5505%**	**88,266**	**-1%**	**80,877**	**8%**
EPS (FD)	**25.23**	**73%**	**4938%**	**25.65**	**-2%**	**23.28**	**8%**
Implied shares (mn)	3,474	1%	11%	3,441	1%	3,474	0%
Gross margin	85.7%	6.2%pt	67.2%pt	85.4%	0.3%pt	83.4%	2.3%pt
OP margin	80.0%	18.6%pt	74.0%pt	80.8%	-0.8%pt	79.5%	0.5%pt
Net margin	65.6%	12.5%pt	57.2%pt	66.2%	-0.6%pt	61.2%	4.4%pt

Source: Company, Bloomberg, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 2: Our more positive 4Q26 earnings estimates compared to that of consensus are primarily based on stronger price assumptions (DRAM ASP up 10% QoQ assumed)

Nanya Tech – 2026 quarterly earnings; consensus vs our estimate

(NT$mn, NT$)	1Q26 Actual	2Q26 Actual	3Q26 Actual	4Q26E Our est	4Q26E Cons	Diff
Sales	**49,087**	**82,549**	**133,649**	**145,331**	**138,726**	**5%**
GP	33,316	65,619	114,482	123,208	118,750	4%
OP	**30,111**	**60,826**	**106,894**	**115,708**	**112,321**	**3%**
Pre-tax profit	31,718	62,329	109,332	117,283	114,486	2%
Effective tax rate	18%	19%	20%	25%	20%	5%
NP	**26,059**	**50,192**	**87,627**	**87,962**	**91,735**	**-4%**
EPS (FD)	**8.35**	**14.56**	**25.23**	**25.32**	**26.76**	**-5%**
Implied shares (mn)	3122	3446	3474	3474	3428	1%
Gross margin	*67.9%*	*79.5%*	*85.7%*	*84.8%*	*85.6%*	*-0.8%pt*
OP margin	*61.3%*	*73.7%*	*80.0%*	*79.6%*	*81.0%*	*-1.3%pt*
Net margin	*53.1%*	*60.8%*	*65.6%*	*60.5%*	*66.1%*	*-5.6%pt*

Source: Company, Bloomberg, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 3: We expect record-high margins to continue in 2026-27E (OPM 75%+) and mild erosion assumed for 2028E (62%)

Nanya Tech – 2026-28 annual earnings; consensus vs our estimate

(NT$mn, NT$)	2025	2026E			2027E			2028E		
	Actual	Our est	Cons	Diff	Our est	Cons	Diff	Our est	Cons	Diff
Sales	**66,587**	**410,616**	**403,146**	**2%**	**633,254**	**632,924**	**0%**	**617,223**	**818,254**	**-25%**
GP	14,986	336,626	331,092	2%	508,978	535,479	-5%	423,265	656,813	-36%
OP	**5,245**	**313,540**	**311,121**	**1%**	**474,183**	**512,340**	**-7%**	**385,201**	**616,299**	**-37%**
Pre-tax profit	7,884	320,662	317,056	1%	480,103	515,978	-7%	390,687	657,969	-41%
Effective tax rate	16%	21%	19%	2%	25%	20%	5%	25%	19%	6%
NP	**6,616**	**251,840**	**256,071**	**-2%**	**360,077**	**414,193**	**-13%**	**293,015**	**534,271**	**-45%**
EPS (FD)	**2.12**	**74.53**	**73.77**	**1%**	**103.66**	**115.77**	**-10%**	**84.36**	**155.37**	**-46%**
Implied shares (mn)	3122	3379	3471	-3%	3474	3578	-3%	3474	3439	1%
Gross margin	*22.5%*	*82.0%*	*82.1%*	*-0.1%pt*	*80.4%*	*84.6%*	*-4.2%pt*	*68.6%*	*80.3%*	*-11.7%pt*
OP margin	*7.9%*	*76.4%*	*77.2%*	*-0.8%pt*	*74.9%*	*80.9%*	*-6.1%pt*	*62.4%*	*75.3%*	*-12.9%pt*
Net margin	*9.9%*	*61.3%*	*63.5%*	*-2.2%pt*	*56.9%*	*65.4%*	*-8.6%pt*	*47.5%*	*65.3%*	*-17.8%pt*

Source: Company, Bloomberg, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 4: Our 7-8% higher 2027-28E EPS estimates are mostly based on our 5%/1%pt higher sales/OPM assumptions vs our earlier forecasts given more favorable conventional DRAM ASP trend

Nanya Tech – Earnings revisions (2026-28E)

(NT$bn, NT$)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2022	2023	2024	2025	2026E	2027E	2028E
EPS (FD)															
New	8.3	14.6	25.2	25.3	25.9	26.2	26.5	25.1	4.7	-2.4	-1.6	2.1	74.5	103.7	84.4
Old	8.3	14.6	23.3	23.3	24.0	24.5	24.7	23.4	4.7	-2.4	-1.6	2.1	70.5	96.5	77.8
Diff	n/a	n/a	8%	9%	8%	7%	7%	7%	n/a	n/a	n/a	n/a	6%	7%	8%
Dividend/share															
New	0.0	1.4	0.0	0.0	0.0	22.4	0.0	0.0	2.1	0.0	0.0	1.4	22.4	41.5	42.2
Old	0.0	1.4	0.0	0.0	0.0	21.1	0.0	0.0	2.1	0.0	0.0	1.4	21.1	38.6	38.9
Difference	n/a	n/a	nm	nm	nm	nm	nm	nm	n/a	n/a	n/a	n/a	6%	7%	8%
Sales total															
New	49.1	82.5	133.6	145.3	151.6	157.2	164.1	160.3	57.0	29.9	34.1	66.6	410.6	633.3	617.2
Old	49.1	82.5	132.2	137.3	143.8	149.0	155.6	152.0	57.0	29.9	34.1	66.6	401.1	600.4	585.2
Diff	n/a	n/a	1%	6%	5%	5%	5%	5%	n/a	n/a	n/a	n/a	2%	5%	5%
OP margin															
New	61.3%	73.7%	80.0%	79.6%	78.0%	76.3%	73.8%	71.7%	19.3%	-48.4%	-30.9%	7.9%	76.4%	74.9%	62.4%
Old	61.3%	73.7%	79.5%	77.7%	76.4%	75.2%	72.7%	70.4%	19.3%	-48.4%	-30.9%	7.9%	75.5%	73.6%	60.8%
Diff	n/a	n/a	0.5%	1.9%	1.6%	1.0%	1.1%	1.2%	n/a	n/a	n/a	n/a	0.9%	1.2%	1.6%
EBITDA															
New	33.0	63.8	110.0	118.9	121.6	123.4	124.9	118.9	26.2	0.9	5.6	19.5	325.7	488.8	404.2
Old	33.0	63.8	108.1	109.7	112.9	115.3	116.5	110.6	26.2	0.9	5.6	19.5	314.6	455.2	371.8
Diff	n/a	n/a	2%	8%	8%	7%	7%	8%	n/a	n/a	n/a	n/a	4%	7%	9%
Capex															
New	2.8	4.0	20.8	42.1	20.0	18.0	17.0	25.0	20.7	13.2	16.1	13.4	69.7	80.0	90.0
Old	2.8	4.0	15.0	28.1	18.0	16.0	17.0	19.0	20.7	13.2	16.1	13.4	50.0	70.0	70.0
Diff	n/a	n/a	39%	49%	11%	13%	0%	32%	n/a	n/a	n/a	n/a	39%	14%	29%
DRAM sales (US$mn)															
New	1,551	2,612	4,176	4,509	4,742	4,935	5,175	5,069	1,935	958	1,062	2,156	12,847	19,920	19,602
Old	1,551	2,612	4,004	4,175	4,397	4,581	4,809	4,710	1,935	958	1,062	2,156	12,342	18,497	18,210
Diff	n/a	n/a	4%	8%	8%	8%	8%	8%	n/a	n/a	n/a	n/a	4%	8%	8%
Shipments (8Gb, mn)															
New	220	220	209	205	211	219	237	239	447	429	450	705	853	906	1,043
Old	220	220	235	238	245	254	275	278	447	429	450	705	912	1,052	1,211
Diff	n/a	n/a	-11%	-14%	-14%	-14%	-14%	-14%	n/a	n/a	n/a	n/a	-6%	-14%	-14%
ASP US$/8b equiv															
New	7.90	12.70	20.38	22.42	22.87	22.87	22.18	21.52	4.49	2.52	2.86	3.54	15.68	22.33	19.08
Old	7.90	12.70	17.78	18.31	18.68	18.68	18.12	17.58	4.49	2.52	2.86	3.54	14.31	18.24	15.58
Diff	n/a	n/a	15%	22%	22%	22%	22%	22%	n/a	n/a	n/a	n/a	10%	22%	22%
ASP chg (QoQ/YoY)															
New	71%	61%	61%	10%	2%	0%	-3%	-3%	-10%	-44%	13%	24%	343%	42%	-15%
Old	71%	61%	40%	3%	2%	0%	-3%	-3%	-10%	-44%	13%	24%	305%	27%	-15%
Diff	n/a	n/a	21%	7%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	39%	15%	0%
Cost US$/8Gb equiv															
New	3.05	3.34	4.08	4.57	5.03	5.43	5.81	6.10	3.61	3.75	3.74	3.30	3.74	5.61	7.17
Old	3.05	3.34	3.64	4.08	4.41	4.63	4.95	5.20	3.61	3.75	3.74	3.30	3.54	4.81	6.11
Diff	n/a	n/a	44%	49%	62%	80%	86%	90%	n/a	n/a	n/a	n/a	20%	80%	106%
Bit growth (QoQ/YoY)															
New	-5%	0%	-5%	-2%	3%	4%	8%	1%	-27%	-4%	5%	57%	21%	6%	15%
Old	-5%	0%	7%	1%	3%	4%	8%	1%	-27%	-4%	5%	57%	29%	15%	15%
Diff	n/a	n/a	-12%	-3%	0%	0%	0%	0%	n/a	n/a	n/a	n/a	-8%	-9%	0%

Source: Company, BofA Global Research estimates

Exhibit 5: We expect DRAM ASP to rise 10% QoQ in 4Q and eventually low-single% hike in 1H27 and mild decline in 2H27 (down low-single%) after 40%+ QoQ growth each quarter during 2H25-3Q26

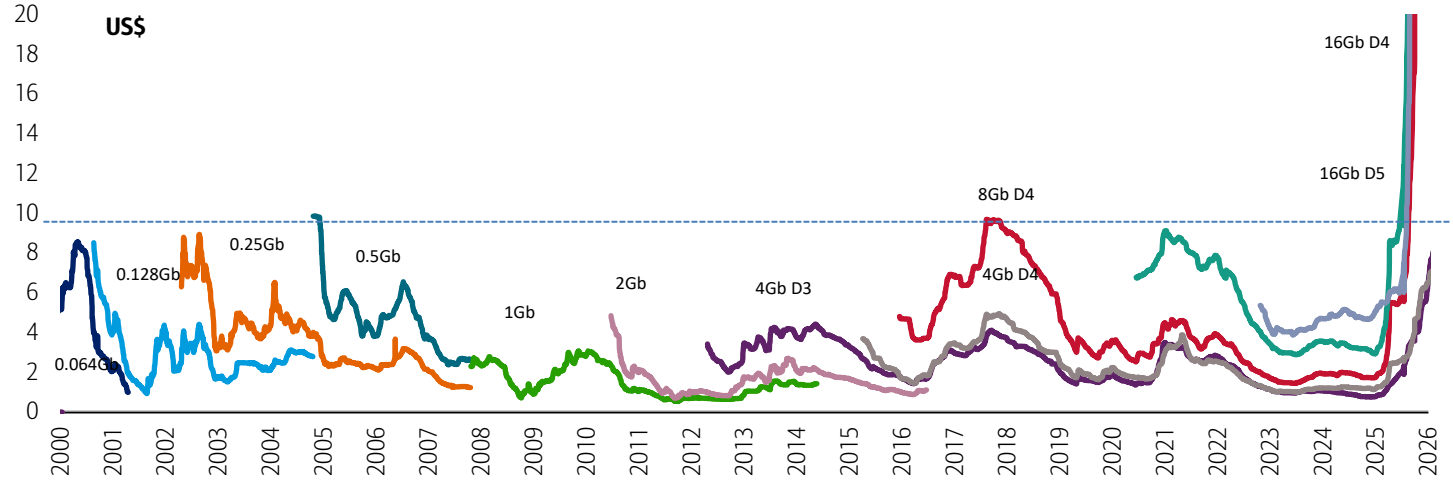
Nanya Tech – DRAM assumptions (2026-28E)

(8Gb equiv)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales US$mn	**1,551**	**2,612**	**4,176**	**4,509**	**4,742**	**4,935**	**5,175**	**5,069**	**3,066**	**1,935**	**958**	**1,062**	**2,156**	**12,847**	**19,920**	**19,602**
Units 8Gb equiv mn	220	220	209	205	211	219	237	239	612	447	429	450	705	853	906	1,043
ASP US$/8Gb	**7.9**	**12.7**	**20.4**	**22.4**	**22.9**	**22.9**	**22.2**	**21.5**	**5.0**	**4.5**	**2.5**	**2.9**	**3.5**	**15.7**	**22.3**	**19.1**
Per unit full cost US$/8Gb	3.1	3.3	4.1	4.6	5.0	5.4	5.8	6.1	3.4	3.6	3.7	3.7	3.3	3.7	5.6	7.2
Full cost US$mn (COGS+SG&A)	671	735	852	935	1,060	1,190	1,376	1,459	2,083	1,617	1,607	1,681	2,325	3,193	5,084	7,482
OP margin	**61%**	**74%**	**80%**	**80%**	**78%**	**76%**	**74%**	**72%**	**32%**	**20%**	**-48%**	**-31%**	**7%**	**76%**	**75%**	**62%**
Depreciation+amort US$mn	92	94	97	101	107	112	118	130	548	511	492	538	476	405	487	632
EBITDA US$mn	1,043	2,019	3,437	3,755	3,868	3,936	3,995	3,818	1,521	879	28	186	651	10,857	16,294	13,472
EBITDA margin	67%	77%	82%	83%	82%	80%	77%	75%	50%	45%	3%	18%	30%	85%	82%	69%
Capex spend US$mn	89	128	649	1328	636	574	544	803	403	694	425	538	448	2,323	2,667	3,000
%QoQ																
Sales	62%	61%	52%	8%	5%	4%	5%	-2%								
Bit growth	-5%	0%	-5%	-2%	3%	4%	8%	1%								
ASP	71%	61%	61%	10%	2%	0%	-3%	-3%								
Per unit full cost	9%	9%	22%	12%	10%	8%	7%	5%								
%YoY																
Sales	564%	561%	476%	329%	178%	80%	23%	12%	47%	-34%	-46%	19%	94%	437%	51%	-2%
Bit growth	124%	32%	0%	-12%	-4%	0%	13%	17%	0%	-27%	-4%	5%	57%	21%	6%	15%
ASP	196%	401%	475%	385%	190%	80%	9%	-4%	47%	-10%	-44%	13%	24%	343%	42%	-15%
Per unit full cost	-20%	-8%	22%	63%	65%	62%	42%	33%	16%	6%	4%	0%	-12%	13%	50%	28%
DRAM wafer capa (K wpm)																
30nm & above	10	9	9	8	8	7	7	6	20	18	16	14	11	9	7	5
20nm (incl. new upgrade)	26	25	24	22	21	20	19	18	55	51	39	38	28	24	20	16
10nm-class (1b or below)	27	31	35	38	46	53	61	66	0	0	0	4	18	33	56	76
Total capacity, k wpm	**62**	**65**	**67**	**68**	**74**	**80**	**86**	**90**	**75**	**69**	**55**	**55**	**57**	**66**	**83**	**96**
% of 20nm or below to total	85%	86%	87%	88%	90%	91%	92%	93%	73%	74%	71%	75%	81%	87%	92%	95%

Source: Company, BofA Global Research estimates

DRAM spot/contract price trend

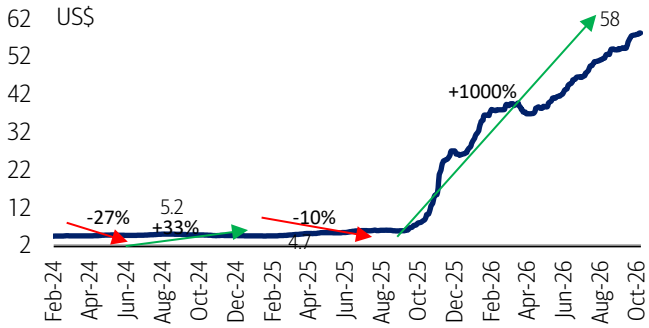
Exhibit 6: DRAM spot prices rebounded gradually through June/July/Aug/Sep, to hit all-time high levels. Prices have reached multi-decade highs, with 16Gb DDR5 (for PC) at ~$58 and DDR4 at ~$85, driven by supply reallocation toward HBM and server DRAM—well above the prior ~$10 peak in Oct-17
DRAM spot price – long-term trend (2000-2026)



Source: DRAMeXchange

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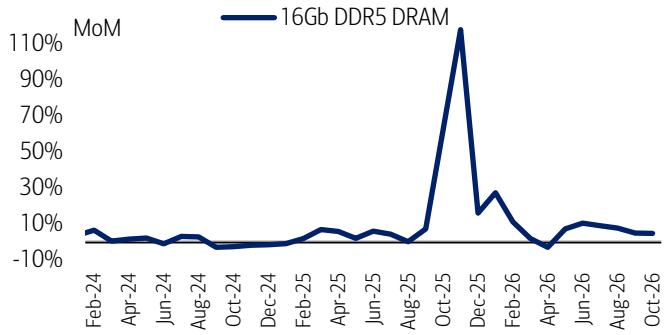
Exhibit 7: Price recovery extended from May to Sep and early-Oct, reaching a record high of $58, driven by sharp gains in Oct (+70%), Nov (+60%), and Jan (+25%), before moderating during Feb–Apr.
16Gb DDR5 spot price – daily, Feb '24 - Oct '26



Source: DRAMeXchange

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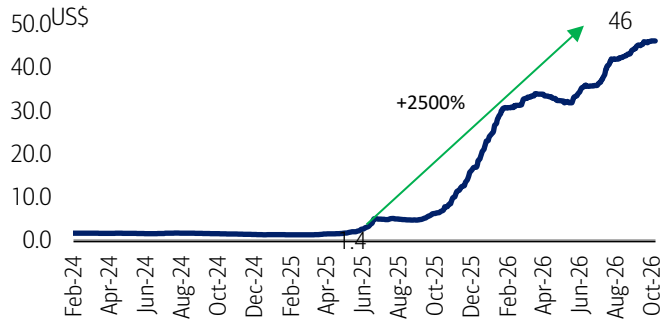
Exhibit 8: Still up 4-5% each in Sep/early-Oct following a modest uptick observed through May/Jun/Jul/Aug (+7-10%)
16Gb DDR5 spot month-average price – MoM change, Feb '24 - Oct '26



Source: DRAMeXchange

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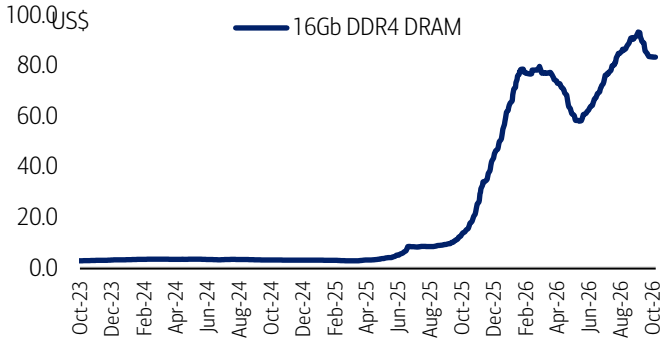
Exhibit 9: 8Gb DDR4 spot prices stable at $45 level, still well above the prior ~$10 peak in October 2017, driven by ongoing supply cuts from major vendors
8Gb DDR4 spot price trend, Feb '24 - Oct '26



Source: DRAMeXchange

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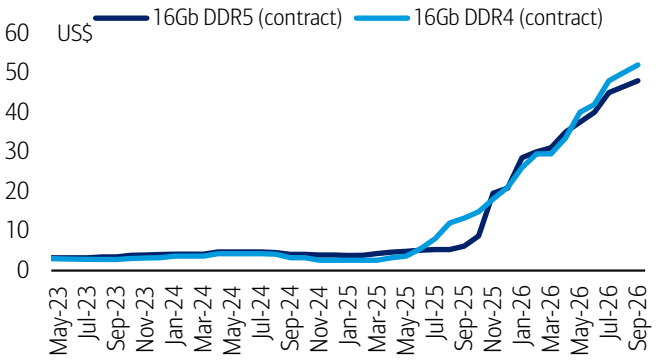
Exhibit 10: Remained flat in early-Oct, but price down 10% after hitting peak in early-Sep, price still ~2000% above the Oct-25 low (~$3)
16Gb DDR4 spot price trend, Oct '23 - Oct '26



Source: DRAMeXchange

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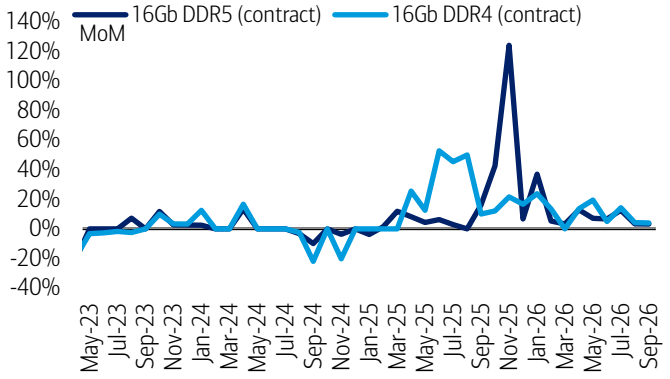
Exhibit 11: DDR4 and DDR5 (16Gb) contract prices are similar at US$50 level – DDR5 price premium no longer exists due to DDR4 shortage
16Gb DDR5 vs 16Gb DDR4 contract price trend, May '23- Sep '26



Source: TrendForce

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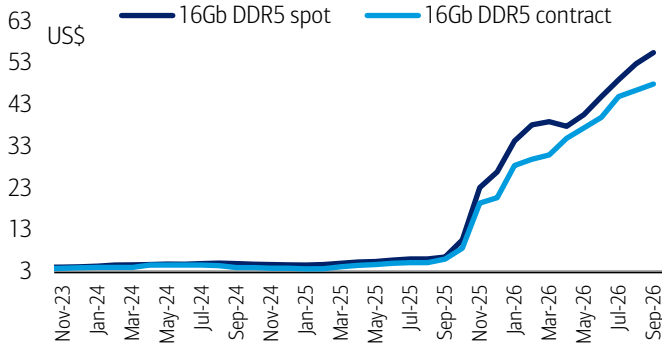
Exhibit 12: DDR5 and DDR4 contract prices up only low-single in Aug/Sep vs +10-15% MoM in July; price strong through 2H25-1H26
16Gb DDR5 vs 16Gb DDR4 contract price change - MoM, May '23- Sep'26



Source: TrendForce

BofA GLOBAL RESEARCH

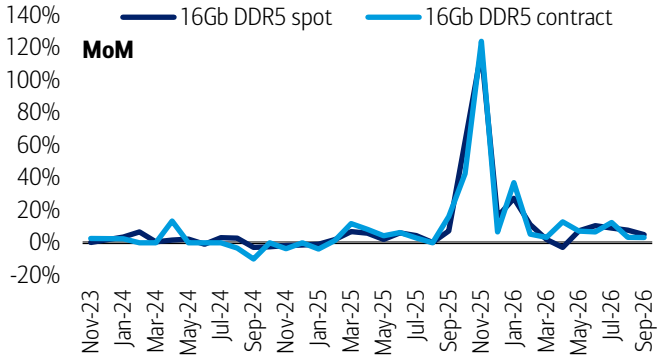
Exhibit 13: 16Gb DDR5 spot and contract prices are in the range of US$50-55 vs historical range of US$3-5
16Gb DDR5 spot vs contract price trend (US$), Nov '23-Sep '26



Source: DRAMeXchange, TrendForce

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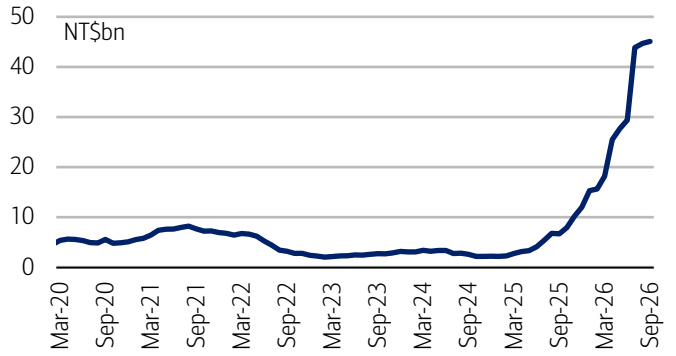
Exhibit 14: Sep price broadly flat following Jun-Aug recovery; prices had witnessed a sharp rally in Oct–Dec'25
16Gb DDR5 spot vs contract price trend – MoM change, Nov '23-Sep '26



Source: DRAMeXchange, TrendForce

BofA GLOBAL RESEARCH

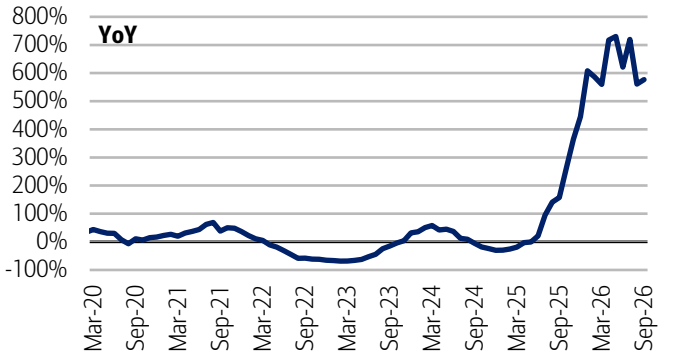
Exhibit 15: Exceptionally strong sales growth continued in 3Q26 (NT$134bn; up 62% QoQ and 612% YoY)
Nanya Tech – Monthly sales trend



Source: Company

BofA GLOBAL RESEARCH

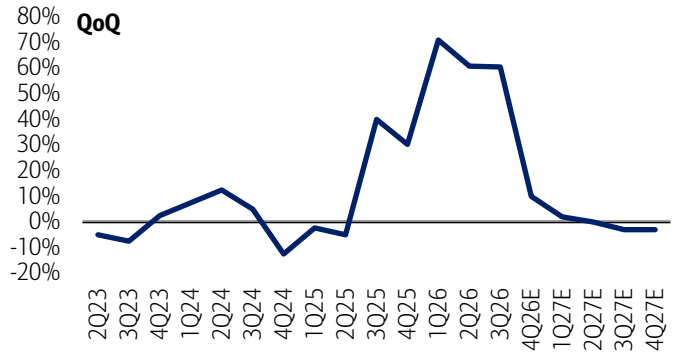
Exhibit 16: YoY monthly sales growth still robust in Sep (up 577%); already 14 consecutive months of triple-digit rebound
Nanya Tech – Monthly sales YoY



Source: Company, BofA Global Research

BofA GLOBAL RESEARCH

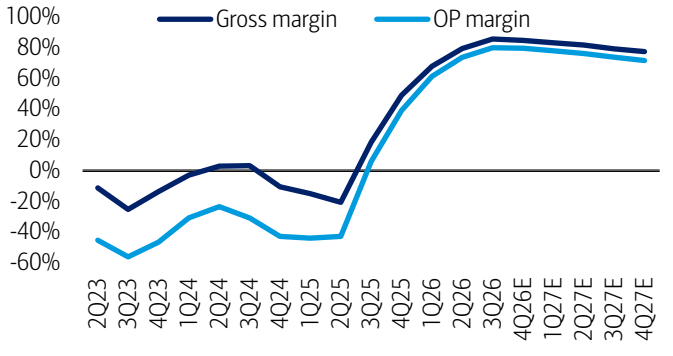
Exhibit 17: Exceptionally strong ASP hike in 3Q (up >60% QoQ); we assume decelerating growth into 4Q (up 10%) and 1H27 (up low-single%) and mild decline in 2H27
Nanya Tech DRAM ASP trend – quarterly; 8Gb equiv.



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

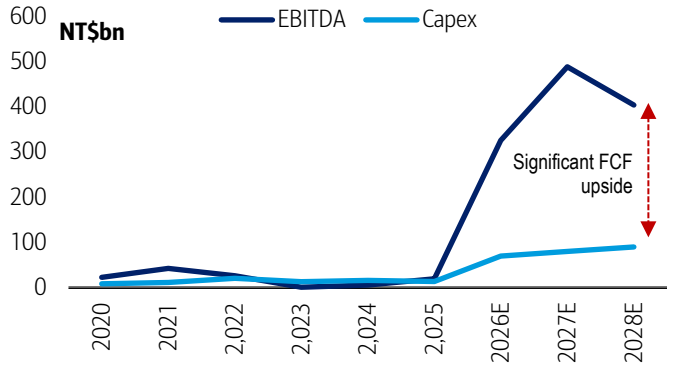
Exhibit 18: We expect robust margins to continue in 4Q26-27 (GM/OPM 70%+); record-high margins well-proved in 3Q (GM 86%, OPM 80%)
Nanya Tech – Gross and OP margin trend



Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

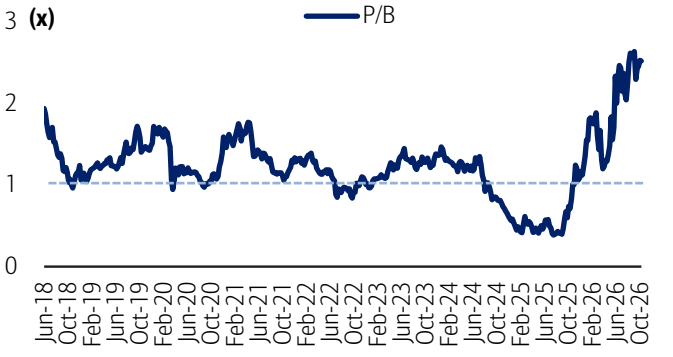
Exhibit 19: Record-high FCF generation well-expected in 2026-28E on the back of much stronger-than-expected commodity DRAM price hike
Nanya Tech – EBITDA vs capex trend



Source: Company, BofA Global Research estimates

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Exhibit 20: Currently trading at low-2.0x P/B vs our implied target of low-3.0x
Nanya Tech – 12-month forward P/B



Source: Company, Bloomberg, BofA Global Research estimates

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Valuation

Exhibit 21: Our PO of NT$800 (old PO NT$750) is derived from 9x 2027-28E P/E (unchanged multiple)
Nanya Tech – Valuation multiples at current price and PO

(x)	2024	2025	2026E	2027E	2028E	2027-28E Avg
Current shr price based						
P/E	**n/a**	**n/a**	**7.1**	**5.1**	**6.2**	**5.7**
P/B	**9.9**	**9.6**	**3.7**	**2.3**	**2.0**	**2.1**
EV/EBITDA	285.2	81.6	4.9	3.3	3.9	3.6
EV/Sales	46.7	23.9	3.9	2.5	2.6	2.6
PO based multiples						
PO/EPS	**n/a**	**377.5**	**10.7**	**7.7**	**9.5**	**8.6**
PO/BV	**15.0**	**14.5**	**5.5**	**3.5**	**3.0**	**3.2**
EV/EBITDA	436.6	125.0	7.5	5.0	6.0	5.5
EV/Sales	71.5	36.6	5.9	3.9	4.0	3.9

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 22: Long-term historical average (2014-25) P/E shows: year-avg:13x, year-high: 17x, year-low: 9x
Nanya Tech – Historical valuation multiples

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	LT avg 2014-25
Yr avg shr price based													
P/E	**5.2**	**7.7**	**4.5**	**4.4**	**6.1**	**21.2**	**26.3**	**31.4**	**8.3**	**14.3**	**nm**	**nm**	**12.9**
P/B	**3.5**	**2.4**	**1.2**	**1.4**	**1.4**	**1.4**	**1.3**	**1.6**	**1.1**	**1.1**	**1.1**	**1.3**	**1.6**
EV/EBITDA	8.2	8.9	9.2	5.2	3.3	6.5	6.5	7.1	2.7	6.1	160.3	31.1	8.6
EV/Sales	4.1	3.9	3.2	2.6	2.0	3.0	2.5	2.7	1.3	2.8	4.6	5.1	3.2
Yr high shr price based													
P/E	**7.3**	**12.0**	**5.7**	**6.5**	**8.3**	**26.8**	**36.9**	**41.1**	**11.4**	**17.0**	**nm**	**nm**	**17.3**
P/B	**5.0**	**3.7**	**1.6**	**2.1**	**1.9**	**1.7**	**1.8**	**2.1**	**1.5**	**1.4**	**1.4**	**3.7**	**2.3**
EV/EBITDA	10.7	12.8	11.0	8.1	4.9	9.1	10.1	10.4	4.4	7.6	231.6	100.9	17.3
EV/Sales	5.3	5.6	3.9	4.0	3.0	4.2	3.8	3.9	2.2	3.5	6.7	16.5	5.2
Yr low shr price based													
P/E	**3.0**	**4.3**	**3.9**	**3.2**	**3.7**	**16.2**	**17.7**	**23.8**	**6.2**	**11.3**	**nm**	**nm**	**9.3**
P/B	**2.1**	**1.3**	**1.1**	**1.0**	**0.8**	**1.0**	**0.9**	**1.2**	**0.8**	**0.9**	**0.5**	**0.5**	**1.0**
EV/EBITDA	5.6	5.9	8.5	3.4	1.6	4.8	3.7	4.5	1.6	4.4	60.8	7.1	4.7
EV/Sales	2.8	2.6	3.0	1.7	1.0	2.2	1.4	1.7	0.8	2.0	1.8	1.2	1.8

Source: Company, Bloomberg, BofA Global Research

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Exhibit 23: We expect Nanya Tech's P/E to recover to near-9x on the back of record-high 2026-27E OP (e.g., legacy DRAM price strengths)
Nanya Tech – Valuation comparison

	BBG Ticker	Rating	Price (Local)	Mcap ($bn)	P/E			P/Book			EV/EBITDA			EV/Sales			ROE		
					FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Nanya Tech	2408 TT	BUY	527.0	56.9	7.1	5.1	6.2	3.7	2.3	2.0	4.6	3.1	3.7	3.7	2.4	2.4	75.3%	56.3%	34.2%
Powertech	6239 TT	BUY	304.5	7.2	23.2	17.9	14.4	3.6	3.1	2.7	9.1	7.8	6.8	2.7	2.3	2.0	16.1%	18.3%	19.9%
SIMO	SIMO US	BUY	263.9	8.9	22.6	24.8	20.0	7.3	5.9	4.8	19.8	17.3	14.1	4.7	4.2	3.6	39.1%	27.2%	27.4%
Phison	8299 TT	BUY	2,055.0	14.2	5.7	9.7	15.1	3.4	2.8	2.6	4.2	6.1	9.5	1.6	1.4	1.6	92.3%	37.0%	20.7%
SK Hynix	000660 KS	BUY	1,681,000	873.3	4.8	4.7	4.6	3.1	2.0	1.5	3.9	2.9	2.8	3.2	2.3	2.2	98.2%	52.9%	38.1%
Micron	MU US	BUY	1,029.0	1,164.2	13.6	6.0	5.2	8.4	4.2	2.9	10.4	4.6	4.1	8.0	3.9	3.4	89.7%	95.8%	68.8%
Samsung	005930 KS	BUY	262,000	1,090.9	6.1	4.5	4.6	2.6	1.8	1.4	3.7	2.8	2.9	2.3	1.8	1.6	52.4%	46.1%	32.9%
TSMC	2330 TT	BUY	2,540.0	2,062.9	22.6	15.7	12.5	8.4	5.8	4.1	15.1	10.6	8.6	11.3	8.0	6.5	43.8%	43.3%	38.5%

Source: Companies, Bloomberg, BofA Global Research estimates

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Exhibit 24: 10% WACC, 45%+ OP margin and 4.0% perpetual growth suggests a fair value of NT$800
Nanya Tech – Discounted cash flow (DCF) valuation as a cross-check

NT$mn	2025	2026E	2027E	2028E	2029E	2030E	2031E
Sales	66,587	410,616	633,254	617,223	536,984	590,682	620,216
Operating profit	5,245	313,540	474,183	385,201	268,492	277,621	285,299
Pre-tax income	7,884	320,662	480,103	390,687	273,862	283,173	291,005
Taxes	1,269	68,823	120,026	97,672	68,465	70,793	72,751
Net profit	6,616	251,840	360,077	293,015	205,396	212,380	218,254
EBITDA (ex-non-cash items)	**19,526**	**325,705**	**488,807**	**404,165**	**289,492**	**302,621**	**315,299**
Depreciation & amortization	14,281	12,165	14,624	18,964	21,000	25,000	30,000
Capex	13,446	69,700	80,000	90,000	70,000	70,000	70,000
NWC increase	1,973	-5,993	-2,456	1,296	1,000	1,000	1,000
Net working capital	36,506	30,514	28,058	29,353	30,353	31,353	32,353
Free cash flow	**2,838**	**193,174**	**291,237**	**215,197**	**150,026**	**160,827**	**171,548**
Adj FCF without NWC change	**4,811**	**187,182**	**288,781**	**216,493**	**151,026**	**161,827**	**172,548**
Sales growth	95%	517%	54%	-3%	-13%	10%	5%
OPM	8%	76%	75%	62%	50%	47%	46%
Pre-tax income growth	-220%	3967%	50%	-19%	-30%	3%	3%
Capex growth	-17%	418%	15%	13%	-22%	0%	0%
Effective tax rate	16%	21%	25%	25%	25%	25%	25%
Shareholder value analysis							
Discount factor	1.00	0.91	0.83	0.75	0.68	0.62	0.56
PV of annual FCF		175,617	240,703	161,692	102,479	99,872	96,848
Sum of PV FCF (a)	**877,211**						
Terminal value							
PV of TV (b)	**1,580,187**						2,799,016
Perpetual growth	4.0%						2,974,740
Fair EV/EBITDA 8x	8.0						2,623,291
Enterprise value total (a+b)	**2,457,398**						
Net cash (end-2025)	38,818						
Fair value for shareholders	**2,496,216**						
Shares - fully diluted (mn)	3,118						
Per share value	**800.58**						
Current share price	527.00						
Upside	52%						
PO	**800.00**						
PO vs DCF based FV	0%						

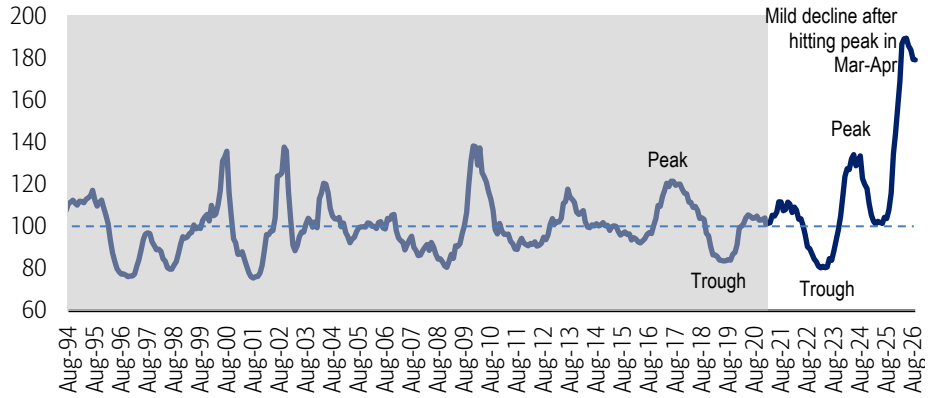
Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

BofA Memory Indicator

Exhibit 25: The BofA Memory Indicator still presents super-cycle – much higher than 2017-18 peak level; of course, it slightly declined to 179 in Aug-26 (due to lower YoY growth) after hitting peak of 190 in Mar/Apr-26, driven by exceptionally strong DRAM/NAND spot pricing, rising ASPs and billings, along with Korea's ~200%+ export growth.

BofA Memory Indicator – back to upturn level since Oct-2025 and hit highest peak in Mar/Apr-26 (back-tested)



Note: Our indicator had previously been capped at ~140, but the recent unprecedented surge—driven by memory spot prices, ASPs, and billings—has led us to raise the ceiling (up to 240 levels) to reflect a more accurate relative comparison. This exceptional strength is further validated by strong earnings from memory chipmakers.

Source: DRAMeXchange, WSTS, MoTIR Korea, BofA Global Research

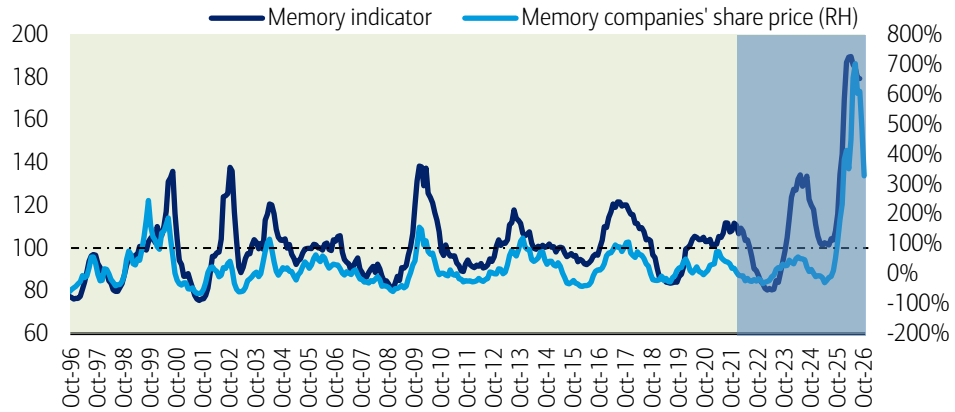
*The shaded area represents back-tested results from January 1991 to March 2021. The unshaded area represents actual performance since April 2021. This performance is back-tested up to March-2021, and does not represent the actual performance of any account or fund. Back-tested performance depicts the theoretical (not actual) performance of a particular strategy over the time period indicated. No representation is being made that any actual portfolio is likely to have achieved returns similar to those shown herein.

Disclaimer: The BofA Memory Indicator is intended to be an indicative metric only and may not be used for reference purposes or as a measure of performance for any financial instrument or contract, or otherwise relied upon by third parties for any other purpose, without the prior written consent of BofA Global Research. This indicator was not created to act as a benchmark. For methodology, see the 5 Aug 2024 Global Memory Tech report.

BofA GLOBAL RESEARCH

Exhibit 26: Sharp correction in memory companies' stock prices in Jul-Aug due to memory peak-out concerns, global uncertainty and AI concerns, but steady recovery seen in Sep-early Oct

BofA Memory Indicator is highly correlated with stock performance (back-tested)



Note: Memory companies share price is average of Samsung, Hynix, Micron, and Nanya share price YoY changes

Source: Bloomberg, BofA Global Research

The light green shaded area represents back-tested results from January 1991 to March 2021. The blue shaded area represents actual data since April 2021. This performance is back-tested and does not represent the actual performance of any account or fund. Back-tested performance depicts the theoretical (not actual) performance of a particular strategy over the time period indicated. No representation is being made that any actual portfolio is likely to have achieved returns similar to those shown herein. For methodology, see the 5 Aug 2024 Global Memory Tech report.

BofA GLOBAL RESEARCH

The analysis of BofA Memory Indicator in this report is back-tested and does not represent the actual performance of any account or fund. Back-tested performance

depicts the hypothetical back-tested performance of a particular strategy over the time period indicated. In future periods, market and economic conditions will differ and the same strategy will not necessarily produce the same results. No representation is being made that any actual portfolio is likely to have achieved returns similar to those shown herein. In fact, there are frequently sharp differences between back-tested returns and the actual results realized in the actual management of a portfolio. Back-tested performance results are created by applying an investment strategy or methodology to historical data and attempts to give an indication as to how a strategy might have performed during a certain period in the past if the product had been in existence during such time. Back-tested results have inherent limitations including the fact that they are calculated with the full benefit of hindsight, which allows the security selection methodology to be adjusted to maximize the returns. Further, the results shown do not reflect actual trading or the impact that material economic and market factors might have had on a portfolio manager's decision-making under actual circumstances. Back-tested returns do not reflect advisory fees, trading costs, or other fees or expenses.



Earnings outlook in 2026-28E

Exhibit 27: Accelerated topline growth well-expected in 2026 (>500% YoY), even after solid growth in 2025 (+95%) on the back of commodity DRAM price recovery/upturn; solid turnaround well-observed in 1Q26 (61%) and we expect further enhancement throughout 2026-27E (75%+ range)
Nanya Tech – Income statement

(NT$mn)	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales total	**49,087**	**82,549**	**133,649**	**145,331**	**151,624**	**157,188**	**164,144**	**160,298**	**85,604**	**56,952**	**29,892**	**34,132**	**66,587**	**410,616**	**633,254**	**617,223**
DRAM	49,087	82,549	133,649	145,331	151,624	157,188	164,144	160,298	85,604	56,952	29,892	34,132	66,587	410,616	633,254	617,223
Others & adj	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
FX (NT$/US$)	32	32	32	32	31	31	31	31	28	30	31	32	31	32	31	31
US$ equiv DRAM sales (mn)	1,551	2,612	4,176	4,589	4,821	5,014	5,253	5,146	3,066	1,935	958	1,062	2,156	12,928	20,234	19,903
COGS	15,771	16,930	19,167	22,123	25,474	28,716	34,035	36,050	48,560	35,610	34,375	34,552	51,600	73,990	124,276	193,958
Gross profit	**33,316**	**65,619**	**114,482**	**123,208**	**126,150**	**128,471**	**130,109**	**124,248**	**37,044**	**21,342**	**-4,483**	**-421**	**14,986**	**336,626**	**508,978**	**423,265**
Opex (SG&A, R&D)	3,205	4,793	7,588	7,500	7,855	8,600	8,950	9,390	9,858	10,340	9,977	10,134	9,741	23,086	34,795	38,065
Operating profit	**30,111**	**60,826**	**106,894**	**115,708**	**118,295**	**119,871**	**121,159**	**114,858**	**27,186**	**11,002**	**-14,460**	**-10,555**	**5,245**	**313,540**	**474,183**	**385,201**
Depreciation & amort	2,897	2,960	3,108	3,200	3,350	3,518	3,693	4,063	15,294	15,247	15,326	16,144	14,281	12,165	14,624	18,964
EBITDA	33,008	63,786	110,002	118,908	121,645	123,389	124,853	118,921	42,480	26,249	865	5,589	19,526	325,705	488,807	404,165
Capital spending	2,809	4,046	20,783	42,062	20,000	18,000	17,000	25,000	11,260	20,711	13,245	16,143	13,446	69,700	80,000	90,000
Net non-operating expenses	1,607	1,503	2,438	1,574	1,502	1,487	1,473	1,459	581	5,875	3,756	3,998	2,639	7,122	5,920	5,487
Pre-tax income	**31,718**	**62,329**	**109,332**	**117,283**	**119,796**	**121,358**	**122,632**	**116,316**	**27,767**	**16,876**	**-10,705**	**-6,557**	**7,884**	**320,662**	**480,103**	**390,687**
Taxes	5,660	12,138	21,705	29,321	29,949	30,340	30,658	29,079	4,918	2,258	-3,265	-1,474	1,269	68,823	120,026	97,672
Effective tax rate	18%	19%	20%	25%	25%	25%	25%	25%	18%	13%	31%	22%	16%	21%	25%	25%
Net profit	**26,058**	**50,192**	**87,627**	**87,962**	**89,847**	**91,019**	**91,974**	**87,237**	**22,849**	**14,618**	**-7,440**	**-5,083**	**6,615**	**251,839**	**360,077**	**293,015**
Minority income	-1	0	0	0	0	0	0	0	0	0	0	0	-1	-2	0	0
Net profit after minority	**26,059**	**50,192**	**87,627**	**87,962**	**89,847**	**91,019**	**91,974**	**87,237**	**22,849**	**14,618**	**-7,440**	**-5,083**	**6,616**	**251,840**	**360,077**	**293,015**
EPS (FD)	**8.35**	**14.56**	**25.23**	**25.32**	**25.87**	**26.20**	**26.48**	**25.12**	**7.35**	**4.68**	**-2.39**	**-1.63**	**2.12**	**74.53**	**103.66**	**84.36**
% to sales total																
DRAM revenue	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%	100%
Gross profit	68%	79%	86%	85%	83%	82%	79%	78%	43%	37%	-15%	-1%	23%	82%	80%	69%
SG&A	7%	6%	6%	5%	5%	5%	5%	6%	12%	18%	33%	30%	15%	6%	5%	6%
Operating profit	61%	74%	80%	80%	78%	76%	74%	72%	32%	19%	-48%	-31%	8%	76%	75%	62%
Depreciation & amort	6%	4%	2%	2%	2%	2%	2%	3%	18%	27%	51%	47%	21%	3%	2%	3%
EBITDA	67%	77%	82%	82%	80%	78%	76%	74%	50%	46%	3%	16%	29%	79%	77%	65%
Pre-tax income	65%	76%	82%	81%	79%	77%	75%	73%	32%	30%	-36%	-19%	12%	78%	76%	63%
Net profit	53%	61%	66%	61%	59%	58%	56%	54%	27%	26%	-25%	-15%	10%	61%	57%	47%

Source: Company, BofA Global Research estimates

Exhibit 28: Balance sheet broadly healthy with solid net cash (NT$270bn as of 3Q26) and declining inventory burden
Nanya Tech – Balance sheet

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Assets total	**240,968**	**387,758**	**479,685**	**565,582**	**655,210**	**668,868**	**760,633**	**846,045**	**191,421**	**202,236**	**192,351**	**206,706**	**208,453**	**565,582**	**846,045**	**976,740**
Current assets total	141,607	284,521	357,920	404,109	476,250	474,595	552,232	615,892	106,460	105,512	96,510	107,946	108,541	404,109	615,892	672,368
Cash & cash equivalent	86,281	217,603	288,507	330,199	404,273	401,672	478,179	547,127	80,700	73,593	58,812	61,903	58,074	330,199	547,127	608,280
A/R	25,247	40,247	42,260	46,486	44,161	44,603	46,833	42,150	11,569	4,360	5,220	4,132	16,546	46,486	42,150	38,218
Inventories	24,331	21,530	21,961	22,180	22,624	23,077	21,923	21,265	11,611	23,384	27,634	35,318	27,288	22,180	21,265	20,413
Others	5,748	5,142	5,193	5,245	5,192	5,244	5,297	5,350	2,580	4,175	4,844	6,593	6,634	5,245	5,350	5,457
Non-current assets total	99,361	103,237	121,765	161,472	178,960	194,272	208,401	230,153	84,961	96,723	95,841	98,760	99,912	161,472	230,153	304,372
LT investments	6,867	8,006	8,046	8,087	8,127	8,168	8,209	8,250	5,350	6,131	6,009	5,396	6,659	8,087	8,250	8,416
Fixed assets	87,349	89,804	108,347	148,067	165,568	180,892	195,032	216,794	76,207	84,897	81,838	84,327	85,031	148,067	216,794	291,049
Others	5,145	5,426	5,372	5,318	5,265	5,212	5,160	5,109	3,404	5,695	7,994	9,037	8,221	5,318	5,109	4,907
Liabilities total	**47,931**	**65,060**	**69,360**	**67,294**	**67,075**	**66,862**	**66,652**	**64,827**	**18,443**	**21,278**	**25,427**	**41,653**	**37,914**	**67,294**	**64,827**	**45,572**
Current liabilities total	25,207	41,175	45,423	43,397	43,123	42,854	42,589	40,707	15,692	16,179	20,118	32,780	19,020	43,397	40,707	34,734
ST debts	0	0	0	0	0	0	0	0	0	0	11,181	21,270	5,060	0	0	0
A/P	7,298	8,090	8,171	8,008	8,088	8,169	8,251	8,086	2,850	5,604	3,443	5,180	6,481	8,008	8,086	8,164
Others	17,910	33,085	37,252	35,389	35,036	34,685	34,338	32,621	12,842	10,575	5,493	6,330	7,480	35,389	32,621	26,570
Non-current liabilities	22,724	23,885	23,937	23,897	23,952	24,008	24,064	24,120	2,751	5,099	5,309	8,873	18,894	23,897	24,120	10,838
LT debts	17,796	18,397	18,394	18,397	18,397	18,397	18,397	18,397	0	0	0	3,995	14,196	18,397	18,397	5,000
Others	4,927	5,488	5,543	5,500	5,555	5,611	5,667	5,723	2,751	5,099	5,309	4,878	4,698	5,500	5,723	5,838
Equity total	**192,900**	**322,561**	**410,188**	**498,149**	**587,997**	**601,868**	**693,842**	**781,079**	**172,978**	**180,958**	**166,924**	**165,053**	**170,400**	**498,149**	**781,079**	**931,030**
Paid in capital	30,986	34,502	34,502	34,502	34,502	34,502	34,502	34,502	30,973	30,980	30,981	30,986	30,986	34,502	34,502	34,502
Capital surplus	51,794	127,747	127,747	127,747	127,747	127,747	127,747	127,747	50,696	54,098	51,453	51,461	51,707	127,747	127,747	127,747
Retained earnings	125,513	175,705	263,332	351,294	441,142	455,013	546,987	634,224	95,426	95,267	83,890	78,852	104,102	351,294	634,224	784,175
Treasury stocks	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Others	-15,393	-15,394	-15,394	-15,394	-15,394	-15,394	-15,394	-15,394	-4,117	613	601	3,755	-16,395	-15,394	-15,394	-15,394
Minority	137	138	138	138	138	138	138	138	0	0	0	0	139	138	138	138
Net Asset	**193,037**	**322,699**	**410,326**	**498,287**	**588,135**	**602,006**	**693,980**	**781,217**	**172,978**	**180,958**	**166,924**	**165,053**	**170,538**	**498,287**	**781,217**	**931,168**
D/E Analysis																
Cash & cash equivalent	86,281	217,603	288,507	330,199	404,273	401,672	478,179	547,127	80,700	73,593	58,812	61,903	58,074	330,199	547,127	608,280
Gross debts	17,796	18,397	18,394	18,397	18,397	18,397	18,397	18,397	0	0	11,181	25,265	19,256	18,397	18,397	5,000
Net debts	-68,485	-199,206	-270,113	-311,802	-385,876	-383,275	-459,782	-528,730	-80,700	-73,593	-47,631	-36,638	-38,818	-311,802	-528,730	-603,280
Net D/E ratio	-36%	-62%	-66%	-63%	-66%	-64%	-66%	-68%	-47%	-41%	-29%	-22%	-23%	-63%	-68%	-65%
BVPS	62.3	93.5	118.9	144.4	170.4	174.4	201.1	226.4	55.9	58.4	53.9	53.3	55.0	144.4	226.4	269.8

Source: Company, BofA Global Research estimates

Exhibit 29: Strong capex assumed for 2026-28E (NT$70bn+ pa); 2026 and 1H27 spend mainly for new shell fab construction and then more equipment centric in 2H27-28

Nanya Tech – Cash flow statement

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
I. CF flows from operation	**31,549**	**55,859**	**96,017**	**84,638**	**94,857**	**16,173**	**171,421**	**94,706**	**44,107**	**21,082**	**-6,095**	**1,952**	**18,568**	**268,063**	**377,157**	**310,684**
Net income	26,058	50,192	87,627	87,962	89,847	91,019	91,974	87,237	22,849	14,618	-7,440	-5,083	6,615	251,839	360,077	293,015
Depreciation and amortization	2,897	2,960	3,108	3,200	3,350	3,518	3,693	4,063	15,294	15,247	15,326	16,144	14,281	12,165	14,624	18,964
Change in net working capital	6,388	-283	6,412	-6,524	1,659	-78,363	75,754	3,406	6,172	-5,672	-13,021	-5,772	-1,973	5,993	2,456	-1,296
Others	-3,794	2,991	-1,130	0	0	0	0	0	-207	-3,111	-960	-3,337	-354	-1,933	0	0
II. CF from investments	**-2,814**	**-4,242**	**-20,783**	**-42,062**	**-20,000**	**-18,000**	**-17,000**	**-25,000**	**-10,930**	**-20,868**	**-12,786**	**-16,188**	**-14,110**	**-69,901**	**-80,000**	**-90,000**
Capital expenditures	-2,809	-4,046	-20,783	-42,062	-20,000	-18,000	-17,000	-25,000	-11,260	-20,711	-13,245	-16,143	-13,446	-69,700	-80,000	-90,000
Others	-5	-196	0	0	0	0	0	.	330	-157	459	-45	-664	-201	0	0
III. CF from financing	**-1,547**	**79,415**	**-4,330**	**-885**	**-783**	**-774**	**-77,914**	**-758**	**-3,060**	**-11,771**	**4,196**	**13,707**	**-6,317**	**72,653**	**-80,228**	**-159,531**
Change in debts	-1,459	600	-3	3	0	0	0	0	0	0	11,181	14,084	-6,009	-859	0	-13,397
Change in capital stocks	87	79,469	0	0	0	0	0	0	18,281	3,409	-2,645	13	246	79,556	0	0
Net share repurchases	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Dividends	0	0	-4,658	0	0	0	-77,148	0	-4,011	-11,468	-6,600	0	0	-4,658	-77,148	-143,065
Others	-174	-655	330	-888	-783	-774	-766	-758	-17,331	-3,712	2,259	-390	-554	-1,386	-3,081	-3,069
IV. FX impact	**1,019**	**290**	**0**	**0**	**0**	**0**	**0**	**0**	**-1,143**	**4,451**	**-96**	**3,619**	**-1,970**	**1,309**	**0**	**0**
IV. Cash flows (I+II+III)	**28,207**	**131,322**	**70,904**	**41,692**	**74,074**	**-2,601**	**76,507**	**68,948**	**28,974**	**-7,107**	**-14,781**	**3,091**	**-3,829**	**272,124**	**216,929**	**61,153**
Cash at beginning of the period	58,074	86,281	217,603	288,507	330,199	404,273	401,672	478,179	51,726	80,700	73,593	58,812	61,903	58,074	330,199	547,127
Adjustment for cash balance	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Cash at end of the period	86,281	217,603	288,507	330,199	404,273	401,672	478,179	547,127	80,700	73,593	58,812	61,903	58,074	330,199	547,127	608,280

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Exhibit 30: 2026-28E EBITDA large enough to fully cover increasing capex spend; we assume more meaningful FCF generation in 2026 (around NT$200bn+ pa) after two years of OP loss during 2023-24, while steadily improving net cash position to continue (NT$500-600bn range in 2027-28)

Nanya Tech – Free cash flow (FCF) analysis

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales	49,087	82,549	133,649	145,331	151,624	157,188	164,144	160,298	85,604	56,952	29,892	34,132	66,587	410,616	633,254	617,223
Operating income	30,111	60,826	106,894	115,708	118,295	119,871	121,159	114,858	27,186	11,002	-14,460	-10,555	5,245	313,540	474,183	385,201
Depreciation & amort	2,897	2,960	3,108	3,200	3,350	3,518	3,693	4,063	15,294	15,247	15,326	16,144	14,281	12,165	14,624	18,964
EBITDA	**33,008**	**63,786**	**110,002**	**118,908**	**121,645**	**123,389**	**124,853**	**118,921**	**42,480**	**26,249**	**865**	**5,589**	**19,526**	**325,705**	**488,807**	**404,165**
Capex	**2,809**	**4,046**	**20,783**	**42,062**	**20,000**	**18,000**	**17,000**	**25,000**	**11,260**	**20,711**	**13,245**	**16,143**	**13,446**	**69,700**	**80,000**	**90,000**
Increase of NWC	**-6,388**	**283**	**-6,412**	**6,524**	**-1,659**	**78,363**	**-75,754**	**-3,406**	**-6,172**	**5,672**	**13,021**	**5,772**	**1,973**	**-5,993**	**-2,456**	**1,296**
Net working capital (NWC)	30,119	30,402	23,990	30,514	28,854	107,217	31,464	28,058	10,068	15,740	28,761	34,533	36,506	30,514	28,058	29,353
Ex-cash current assets	55,326	66,919	69,413	73,911	71,978	72,924	74,052	68,764	25,760	31,919	37,698	46,043	50,467	73,911	68,764	64,088
Ex-debts current liabilities	25,207	36,517	45,423	43,397	43,123	-34,294	42,589	40,707	15,692	16,179	8,937	11,510	13,960	43,397	40,707	34,734
Taxes	5,660	12,138	21,705	29,321	29,949	30,340	30,658	29,079	4,918	2,258	-3,265	-1,474	1,269	68,823	120,026	97,672
Free cash flow (FCF)	**30,927**	**47,319**	**73,926**	**41,003**	**73,355**	**-3,314**	**152,948**	**68,248**	**32,473**	**-2,393**	**-22,135**	**-14,851**	**2,838**	**193,174**	**291,237**	**215,197**
FCF without NWC changes	**24,539**	**47,602**	**67,514**	**47,526**	**71,696**	**75,049**	**77,195**	**64,841**	**26,301**	**3,280**	**-9,114**	**-9,080**	**4,811**	**187,182**	**288,781**	**216,493**
US$ equivalent (mn)																
Sales	1,551	2,612	4,176	4,589	4,821	5,014	5,253	5,146	3,065	1,907	959	1,138	2,220	13,687	21,108	20,574
Operating income	951	1,925	3,340	3,654	3,761	3,824	3,877	3,687	973	368	-464	-352	175	10,451	15,806	12,840
EBITDA	1,043	2,019	3,437	3,755	3,868	3,936	3,995	3,818	1,521	879	28	186	651	10,857	16,294	13,472
Capex	89	128	649	1,328	636	574	544	803	403	694	425	538	448	2,323	2,667	3,000
Free cash flow (FCF)	**977**	**1,497**	**2,310**	**1,295**	**2,332**	**-106**	**4,894**	**2,191**	**1,163**	**-80**	**-710**	**-495**	**95**	**6,439**	**9,708**	**7,173**
FCF without NWC changes	**775**	**1,506**	**2,109**	**1,501**	**2,280**	**2,394**	**2,470**	**2,082**	**942**	**110**	**-292**	**-303**	**160**	**6,239**	**9,626**	**7,216**
Cash & cash equivalent	86,281	217,603	288,507	330,199	404,273	401,672	478,179	547,127	80,700	73,593	58,812	61,903	58,074	330,199	547,127	608,280
Debts	17,796	18,397	18,394	18,397	18,397	18,397	18,397	18,397	0	0	11,181	25,265	19,256	18,397	18,397	5,000
Net debts	-68,485	-199,206	-270,113	-311,802	-385,876	-383,275	-459,782	-528,730	-80,700	-73,593	-47,631	-36,638	-38,818	-311,802	-528,730	-603,280

Source: Company, BofA Global Research estimates

BofA GLOBAL RESEARCH

Price objective basis & risk

Nanya Technology (NNYAF)
Our PO of NT$800 is derived from 9x 2027-28E P/E, which is c.30% below the long-term historical average (13x during 2014-25), but near-50% above the previous upturn period (6x in 2014-18). Memory stocks usually trade at low valuation multiples during peak cycle due to downturn concerns. However, the current DRAM cycle looks structurally much better than ever and we expect 2027-28 earnings to exceed 2026 level due to the AI growth theme. This could lead to a re-rating (e.g., 9x P/E or higher), with solid earnings outlook.

Upside risks: DRAM price increases even after the 1H26 upturn, Big-3 memory chipmakers' significant supply cut for commodity DRAM due to HBM, and Nanya Tech's more successful ramp-up of DDR4 or DDR5 (better cost or margin improvement).

Downside risks: weaker legacy DDR4 demand (quicker shift to DDR5), and China's more successful memory production increase.

Analyst Certification

We, Simon Woo, CFA and Matt Shin, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alchip	ALCPF	3661 TT	Haas Liu
	All Ring	XNQNF	6187 TT	Haas Liu
	AMEC	XRTOF	688012 CH	Dai Shen

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	ASE Technology Holding	XSRIF	3711 TT	Haas Liu
	ASE Technology Holding -ADR	ASX	ASX US	Haas Liu
	ASMPT	ASMVF	522 HK	Simon Woo, CFA
	Aspeed	XLKMF	5274 TT	Mike Yang
	Chroma ATE	CRMJF	2360 TT	Haas Liu
	Doosan Corp	DOSAF	000150 KS	Simon Woo, CFA
	eMemory	XYLWF	3529 TT	Mike Yang
	GigaDevice	XGXIF	603986 CH	Daley Li, CFA
	Global Unichip Corp.	GBUHF	3443 TT	Haas Liu
	Grand Process Technology Corp	XZOWF	3131 TT	Haas Liu
	Hanmi Semiconductor	HNSIF	042700 KS	Simon Woo, CFA
	Hon Precision	XXPIF	7769 TT	Haas Liu
	Horizon Robotics	HRZRF	9660 HK	Daley Li, CFA
	Iluvatar CoreX	XSIBF	9903 HK	Daley Li, CFA
	Ingenic	XISCF	300223 CH	Dai Shen
	InnoScience Technology	XSCHF	2577 HK	Daley Li, CFA
	JCET Group Co Ltd	XJIEF	600584 CH	Dai Shen
	King Yuan Electronics Corp.	KYUFF	2449 TT	Haas Liu
	Kinik	KIKCF	1560 TT	Haas Liu
	Macronix International	MXICF	2337 TT	Dai Shen
	MediaTek	MDTKF	2454 TT	Haas Liu
	Montage Technology	XRDFF	688008 CH	Daley Li, CFA
	MPI Corporation	XMJCF	6223 TT	Mike Yang
	Nanya Technology	NNYAF	2408 TT	Simon Woo, CFA
	NCE Power	XVFFF	605111 CH	Daley Li, CFA
	OmniVision	XXHQF	603501 CH	Dai Shen
	Phison Electronics	PISNF	8299 TT	Simon Woo, CFA
	Powerchip Semiconductor Manufacturing Co	XCHPF	6770 TT	Haas Liu
	Powertech Technology	PWOGF	6239 TT	Simon Woo, CFA
	Rockchip	XRPXF	603893 CH	Daley Li, CFA
	Samsung C&T	XCDTF	028260 KS	Simon Woo, CFA
	Samsung Elec -G	SSNHZ	SMSN LI	Simon Woo, CFA
	Samsung Electronics	SSNLF	005930 KS	Simon Woo, CFA
	Samsung Electronics Preferred	SSNNF	005935 KS	Simon Woo, CFA
	Silergy Corp.	SLEGF	6415 TT	Mike Yang
	Silicon Motion	SIMO	SIMO US	Simon Woo, CFA
	SK Hynix	HXSCF	000660 KS	Simon Woo, CFA
	SK Hynix ADR	SKHY	SKHY US	Simon Woo, CFA
	SK Square	SKSQF	402340 KS	Simon Woo, CFA
	Taiwan Semiconductor Manufacturing Co.	TSM	TSM US	Haas Liu
	Taiwan Semiconductor Manufacturing Co.	TSMWF	2330 TT	Haas Liu
	Vanguard International Semiconductor Co	VGILF	5347 TT	Haas Liu
	Winbond Electronics	WBEKF	2344 TT	Dai Shen
	WinWay Technology	XWCLF	6515 TT	Mike Yang
	WT Microelectronics	XZOPF	3036 TT	Mike Yang
NEUTRAL				
	ASMedia Technology Inc.	XZSFF	5269 TT	Mike Yang
	Black Sesame Intl Holding	BSIHF	2533 HK	Daley Li, CFA
	Hangzhou Silan Microelectronics	XDFRF	600460 CH	Daley Li, CFA
	Lion Electronics	XDHFF	605358 CH	Dai Shen
	MetaX	XMEZF	688802 CH	Daley Li, CFA
	Novatek	NVKMF	3034 TT	Mike Yang
	Realtek	RLTKF	2379 TT	Haas Liu
	Shenzhen Goodix	XQPLF	603160 CH	Daley Li, CFA
	Soulbrain	XSBOF	357780 KS	Simon Woo, CFA
	VeriSilicon	XMLZF	688521 CH	Daley Li, CFA
UNDERPERFORM				
	Crystal Clear	XPPTF	300655 CH	Dai Shen
	Faraday	FDYTF	3035 TT	Haas Liu
	GlobalWafers	XWLFF	6488 TT	Mike Yang
	Hua Hong Grace	HHUSF	1347 HK	Dai Shen
	LX Semicon	XLXSF	108320 KS	Simon Woo, CFA
	M31 Technology	XMTZF	6643 TT	Mike Yang
	Maxscend	XMXSF	300782 CH	Daley Li, CFA

APR - Semiconductor Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Parade	PRDWF	4966 TT	Mike Yang
	United Microelectronics Corp.	XUMIF	2303 TT	Haas Liu
	United Microelectronics Corp.	UMC	UMC US	Haas Liu
	Win Semiconductors	WSMIF	3105 TT	Haas Liu
	Wonik IPS	XRHQF	240810 KS	Simon Woo, CFA

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Business Performance	**Numerator**	**Denominator**
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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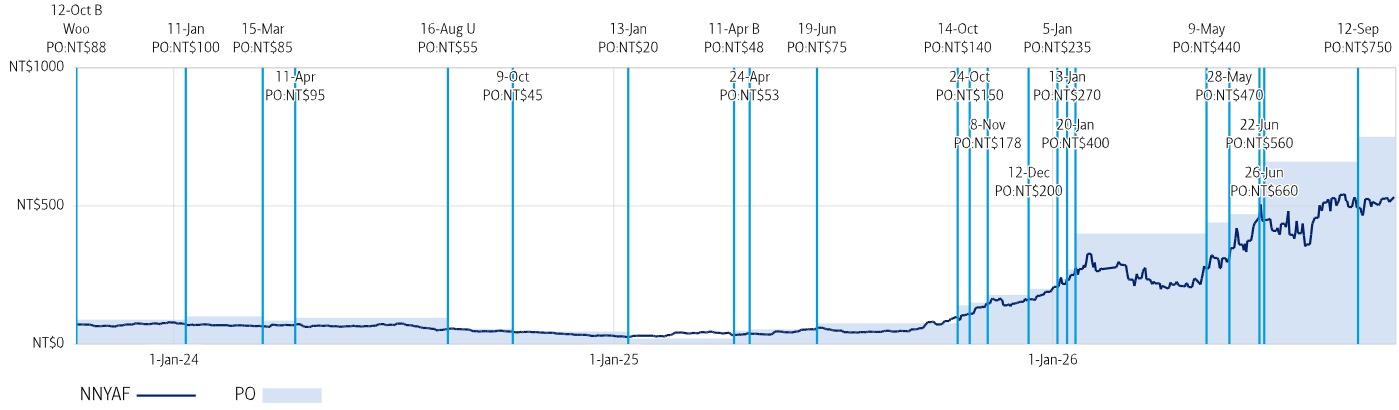
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Nanya Tech (NNYAF) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

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Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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